GMS WEEKLY

Your Source for Recycling News

February 28th, 2025
Week 9
Volume 269, Issue 1174

Highlights:

- **Ramadan begins.**
- **Price decline.**
- **Freight surge.**
- **Trade concerns.**
- **Demand good.**
- **Scan to download / view the Weekly on the GMS App!**

QUOTE of the WEEK

"Just believe in yourself. Even if you don't, pretend that you do and, at some point, you will."

– Venus Williams

-- MARKET COMMENTARY --

DWINDLING…SURGE?!

As chaos continues to churn across all the world, the incredibly deceptive nature of ship recycling has once again reared its head this week in the middle of amidst a dwindling of tonnage, where local port positions marked an impressive batch of arrivals of both tonnage and type at Indian and Bangladeshi waterfronts this week. The ongoing and noteworthy improvement in freight rates has sent charter levels climbing to their highest seen since early December whilst oil fell even further this week on the back of geopolitical tensions and compounding economic uncertainties, recording its first month of over month decline and wrapping up the week at USD 69.76/barrel.

As tonnage availability has been notably absent at the bidding tables of late, the industry was greeted by the start of the Holy Month of Ramadan this week, which descended across the Indian sub-continent (and Turkish) markets, providing India and Bangladesh some respite from the fiery January sales witnessed since the turn of the year, and all at a time where the recent decline in levels of about USD 30/LDT due to ongoing geopolitical volatility that has perpetuated itself via flatlining and even declining steel prices and ongoing currency depreciations that saw the U.S. Dollar surge against currencies of **all** ship recycling nations across the board this week.

At the respective ship recycling destinations, as currency and steel starts to hammer harder where ongoing Indian declines were joined by Pakistan for the first time since October 2024, further highlighting the unfolding effects of the tariff wars as news of 25% against Mexico and Canada going into effect on March 4th surfaced this week, including an additional 10% to be levied against China, which will maintain an unappreciable amount of pressure on ongoing vessel offerings. Political crises have once again resurrected themselves in Bangladesh as the law-and-order situation remains of concern there, whilst Pakistan's treasury continues to hemorrhage cash as fundamentals here declined in unison this week. While India continues to take in questionable tonnage and recyclers here start to feel the pinch of a Rupee that's gone AWOL, cash buyers are being greeted by Turkish offerings even below USD 280/Ton on units, all amidst a devasted Lira that remains clutching to life support.

Overall, with the Red Sea reopening and freight rates set to potentially cool once charters are set to refresh, ongoing peace talks for both Ukraine and Gaza continue to be hit with a bat as Norway cuts off fuel supplies to U.S. Naval vessels over Trump's contentious meeting with President Zelenskyy and Israel cuts off all aid into Gaza amidst an unfolding ceasefire standoff that will unquestionably see freight dynamics start to shift once again. And this may lead to an increased supply of units / containers later in the year. Recent alarming news concerning a potential ban on Chinese built / owned tonnage calling U.S. ports also stands to devastate the U.S. economy in turn, eventually sending prices skyrocketing even further as U.S. inflation starts to rise once again and the Feds cancel their recently intended interest rate cut. Nevertheless, demand for units at flimsy levels remains firm across sub-continent markets and it will be interesting to see what levels upcoming sales are concluded at, especially as the supply of tonnage starts to slow once again.

GMS demo rankings / pricing for week 9 of 2025 are on Page 5.

BANGLADESH

STARK CONTRAST!

Fewer sales.

As the first week of Ramadan sets in, Bangladesh continues to trudge through a truly confusing time where not only are the highest payers in the industry facing the same music as the rest of the world's economies that have started reacting to the unfolding tariffs, including ongoing political and economic hurdles of their own. While February ended up in the history books as a rather stark contrast to a far-busier January on the back of fewer sales being confirmed, and an instability in pricing emerging that was absent since the start of this year has bought in a bevy of fixtures through the last batch of acquisitions, which found themselves simultaneously arriving the waterfront this week, with over 105K LDT and 10 vessels (LNGs, Tankers, and Bulkers) that are either lying in wait or were already delivered to their respective new owners on the beach.

Political shakes.

Domestic fundamentals continue to test the rigidity of local offerings as not only have plate prices held dead on at about USD 529/Ton, but it has been the Taka which, like the Lira, has lost a far less disastrous in comparison, yet disastrous enough on its own as it has plummeted over 11% in just over the last year alone including this week, where it fell another 20 basis points and ended the week at a calamitous BDT 121.97/Ton. With the budget expected in about 3 months from now, the economic fragility continues as despite seeing a massive collection of arrivals over recent weeks highlighting the ongoing trade of recycled ship's steel at levels that have helped Bangladesh dominate pole position over the market rankings for several months now.

HKC deadline.

As the interim political party is also coming under growing pressure, particularly from the increasingly militant student body who ousted former PM Sheikh Hasina and have formed their own party, political (in)stability has trumped (pun intended) economic stability as despite seeing some easing in inflation rates reported across February, it (inflation) remains at a concerned 9.98% as the "to-do list" of the current intermittent administration starts to become rather tenuous across 3 quarters now. Moreover, despite key indicators highlighting a gradual recovery, the nation faces inflationary pressures, slow public spending, diminishing employment opportunities, and an overall sluggish investment climate amidst faltering large U.S. Dollar loans by domestic businesses.

Historic shift!

All of this coming to a head and at a time the HKC stands to enter into force by July 1st 2025, earmarking a historic shift in the business of ship recycling and HKC yard upgrades, though delayed, have reportedly commenced at pace in Chattogram on the back of the BSBRA's recent deadline extension for upgrades to start by March 31st and subsequently obtain relevant SOC certifications from accredited Classes confirming the ability of domestic ship recycling yards to operate post Q2 2025. For now, amidst a sharp decline in the availability of vessels, Ramadan prayers and celebrations, Taka tumbles, and growing pressure on local offerings, Chattogram Choppers may have bought some breathing time until Q2 before the need to engage in discussions from the same tier of buyers resumes again, all while the 2nd batch of hungry buyers are lingering at levels much lower.

NO MARKET SALES REPORTED

INDIA

FALLING…FAST & FURIOUS EDITION!

India's economy has been earmarking what is today, and what will more than likely be the near future for Alang recyclers as not only are their offerings coming under immense economic pressures, but Indian buyers are also coming under increasing competition from a Pakistani market of late, even though their purchasing prowess seems largely dithered over recent weeks on the back of a growing shortage of tonnage that is similarly affecting India's ship recycling sector. Yet, like their Bangladeshi counterparts, Alang's port position has recorded an impressive number of arrivals exceeding 40K LDT via 5 decent size units including tankers, dry units, and even a RoRo.

Price woes.

Additionally, Indian fundamentals are keeping Alang's offerings at the bidding table in check as not only has the Indian Rupee suffered a devastating week as it lost nearly 1% in value to close the week out at Rs. 87.48 against the U.S. Dollar, but local steel plate prices have not stopped falling over the recent past as they fell another $2/Ton this week, pushing the total decline to over USD 17/Ton over the last month alone and this is making it harder for Alang recyclers to compete with the better placed Bangladesh market as well.

USD 17/Ton

Notwithstanding, some of the key markers affecting India's economic scorecard have been pointing in the right direction as Q4 2024 ended with an uptick noted on the back of increased government and consumer spending that even drove the country's economic growth by over 6% during the same time. India's recent budget providing massive tax cuts for low – median income families / individuals will more than likely maintain the nation's economic trajectory and even gradually send India's inflationary numbers South.

But for the nation's ship recycling sector, none of it seems rosy under the current environment, especially since candidate introductions at the bidding tables have slowed over the past month, economic pressures on vessel prices are growing, and levels are without hesitation, seemingly ready for another adjustment. And despite the best efforts of PM Modi to build firmer ties with President Trump during a recent visit to the White House and maintain bilateral economic relations, sentiments also took a beating and weakened off the back of the tariff volatility that is engulfing much of the world at present.

PM Modi's efforts.

Nonetheless, any Far Eastern fixtures will continue to wind up in Bangladesh and those vessels coming from the West are now under an increasing threat of heading to Pakistan as Alang offerings are the ones coming under the heaviest fire, unless of course needing HKC only recycling including those post June 30th 2025, for which Alang buyers already excel at and have been well prepared for this moment for nearly a decade now.

Over a decade.

NO MARKET SALES REPORTED

PAKISTAN

MORE COMPETITIVE?

Confirming deals.

Even though the Gadani gang stand in 3rd place on the market rankings, their inability to perform at a sustained rate leaves the very question unanswered i.e. just how competitive has Gadani's ship recycling sector truly been of late? Although Indian levels stand to approach Pakistan's levels before the reverse takes place, but Pakistan (like the rest of the word) is facing economic wranglings of their own especially after the recent IMF downgrade and billions of dollars in aid and financial loans that remain hanging in the balance.

Notwithstanding the ship recycling act playing out in Q1, of late, Pakistan did become a competitive option rather than the primary destination for any geographically positioned units opening West of Sri Lanka that finally helped even confirme a smaller LDT deal to one hungry recycler whereafter, the market has gone silent again as it wraps up the 2nd consecutive week of an empty anchorage.

Rockier start.

And with plots lying largely dormant after an extremely inactive and inert last few years that has seen many recyclers having to partially close shop and divest in alternative business interests, some of the top-tier buyers are still keen to conclude vessels and as such, interest on select units is lingering behind the scenes, albeit at a subdued level, especially after years of lagging behind the competition and registering some of the lowest sales volumes seen into the nation in nearly over a decade. And with the looks of it, 2025 is certainly off to a rocky start.

Time to restart.

Meanwhile, in the face of the nation's depleting reserves by the government are now being greeted by a healthy inflow of personal foreign remittances into the country leading to a stable February that even saw inflation sit at the perfect level of around 3% that is needed for every major economy to perform at, and this should hopefully ease the burden of finances in short time needed for Pakistani recyclers to initiate upgrade yards to HKC standards, given that a serious influx of recycling tonnage expected in the year(s) ahead!

Eke out.

For now, however, as India's levels are all but certain to see the better part of south in the coming week(s) with their fundamentals written all over the recycling wall, helping Pakistan easily slip into 2nd place and eke out the next healthy batch of units before the next slowdown in the supply starts to hit the markets again, just as they currently are. At the moment however, local steel plate prices fell a massive USD 11/Ton while the Pakistani Rupee itself lost 4 basis points and ended the week at PKR 279.56 against the U.S. Dollar, likely putting their own pressures on Gadani offerings in the interim.

NO MARKET SALES REPORTED

TURKEY

DOWN…AND NEARLY OUT?

Nibbles.

Turkey's chances at securing tonnage and owners receiving a fair offer in the face of a near USD 200/Ton price differential with the sub-continent markets have left little for Aliaga buyers to nibble on. And on the units that are being proposed to test the waters are being greeted by indications that are permeating even below the current price floor of USD 280/Ton. Fundamentals continue afflict their pricing strategy as well as subdued import and local steel plate prices that continue face weekly jitters, all while the Lira remains in freefall as it collapsed another 20 basis points to end the week at TRY 36.53. Certainly not an even playing field for Aliaga recyclers under the current environment.

NO MARKET SALES REPORTED

GMS Weekly – Market Rankings

For Week 9 of 2025, GMS Market Rankings / vessel indications are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	**Stable**	440 / LDT	460 / LDT	470 / LDT
2	India	**Stable**	435 / LDT	455 / LDT	465 / LDT
3	Pakistan	**Stable**	430 / LDT	450 / LDT	460 / LDT
4	Turkey	**Weak**	280 / LDT	290 / LDT	300 / LDT

ODD ONES.

- *For only the second time since the start of the Major League Baseball draft in 1965, all but one of the first 10 picks in 2024 were college players.*
- *About 800 million people across the world lack access to electricity, down from over 1.5 billion in 1998.*
- *In 1945, Grand Rapids, Mich., became the first city in the world to begin intentionally fluoridating its water. A decade later, the rate of tooth decay among the city's children had dropped by over 60 percent.*
- *St. John, the smallest and wildest of the islands that make up the U.S. Virgin Islands, is two-thirds national park and has more mongooses than humans.*
- *The title character of the film "Guillermo del Toro's Pinocchio" is the first metal 3-D-printed puppet. It was animated using some 3,000 replacement faces.*
- *Neuropsychology has shown that short-term memory lasts 15 to 30 seconds, after which it either has to be encoded as a long-term memory or it decays.*
- *The world produces about 400 million metric tons of plastic waste each year, according to a United Nations report. About half is tossed out after a single use.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**DELIVERY TIDES**
March 14 - Holi March 28 – Jamat-ul-Wida March 30 – Gudi Padwa March 31 – Eid-ul-Fitr	February 26 – March 05 March 13 – March 18 March 27 – April 05

BANGLADESH	
BANK HOLIDAYS	**DELIVERY TIDES**
March 26 – Independence & National Day March 28 – Shab-e-Qadr March 29 – April 02 – Eid-ul-Fitr	February 28 – March 03 March 14 – March 17 March 29 – April 01

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays until April	March 23 – Pakistan Day March 30 – April 04 -Eid-Ul-Fitr	March 29 – April 03 – Ramzan Bayrami

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ALANG - Port Position as of February 28, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Athina I	14,883	Oil Tanker	Arrived February 28
2	Bluefins	12,997	Oil Tanker	Arrived February 22
3	Iris of Sea	2,783	General Cargo	Arrived February 26
4	*Jabal Ali 7*	*7,128*	*RoRo*	*Delivered February 18*
5	Talent Blu	3,532	Bulk Carrier	Arrived February 21
Total Tonnage		**41,324**		

CHATTOGRAM - Port Position as of February 28, 2025

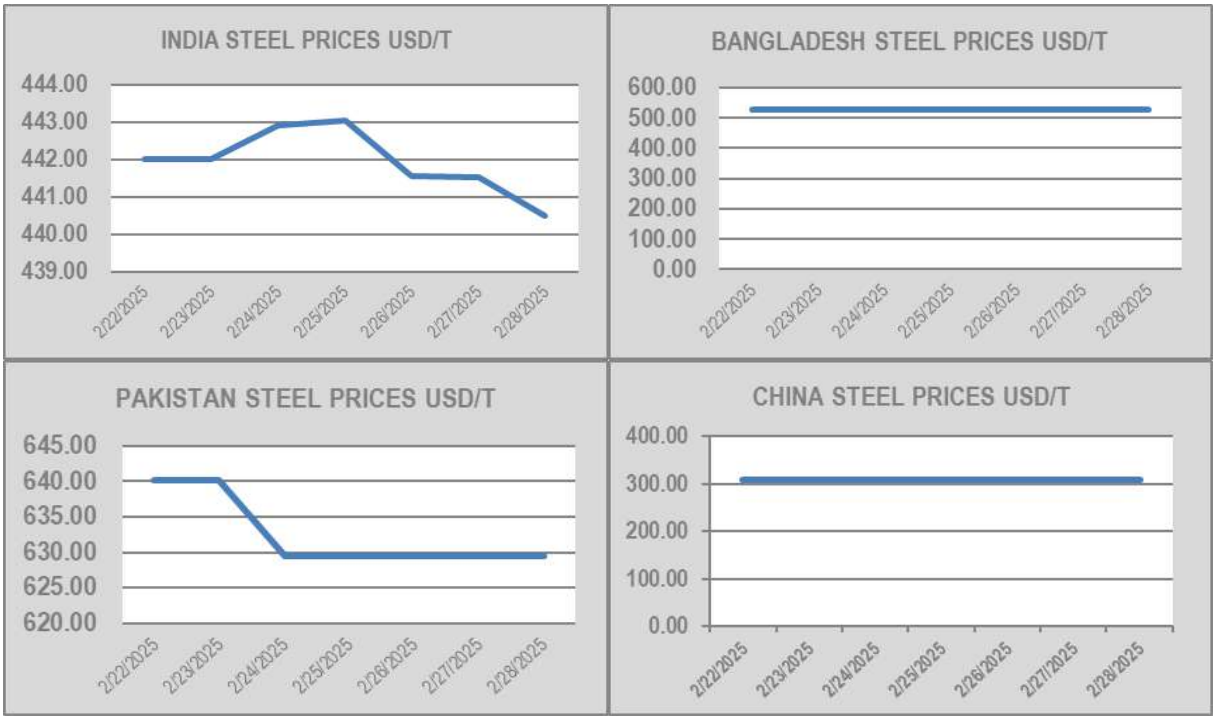
No.	VESSEL NAME	LDT	TYPE	STATUS
1	Banglar Jyoti	3,700	Tanker	Arrived February 27
2	Banglar Shourabh	3,700	Tanker	Arrived February 27
3	East Pioneer	10,891	Bulk Carrier	Arrived February 04
4	*Generalis*	*3,311*	*General Cargo*	*Delivered February 28*
5	*Lakatamia*	*10,082*	*Tanker*	*Delivered February 27*
6	Millenium Leader	4,493	General Cargo	Arrived February 24
7	Pia	30,454	LNG Tanker	Arrived February 22
8	Three Star	7,627	Bulk Carrier	Arrived January 23
9	Wang	9,614	Bulk Carrier	Arrived February 20
10	Winni	21,216	Bulk Carrier	Arrived February 26
		105,088		

GADANI - Port Position as of February 28, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
		No vessels reported.		
Total Tonnage		**-**		

WHILE EXTREME CARE HAS BEEN TAKEN IN THE PREPARATION OF THIS REPORT, NO LIABILITY CAN BE ACCEPTED FOR ANY LOSS INCURRED IN ANY WAY WHATSOEVER BY ANY PERSON RELYING ON THE INFORMATION CONTAINED HEREIN.

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
2/22/2025	442.01	38,300.00	640.20	179,000.00	529.41	63,000.00	308.13
2/23/2025	442.01	38,300.00	640.20	179,000.00	529.41	63,000.00	308.13
2/24/2025	442.91	38,400.00	629.47	176,000.00	529.41	63,000.00	308.13
2/25/2025	443.04	38,500.00	629.47	176,000.00	529.41	63,000.00	308.13
2/26/2025	441.56	38,500.00	629.47	176,000.00	529.41	63,000.00	308.13
2/27/2025	441.51	38,500.00	629.47	176,000.00	529.41	63,000.00	308.13
2/28/2025	440.50	38,500.00	629.47	176,000.00	529.41	63,000.00	308.13



www.gmsinc.net GMS_Leadership GMS Leadership snp@gmsinc.net

Athens, Greece Tel: +30.210.899.0669
Cumberland, USA Tel: +1.301.759.9240
Hamburg, Germany Tel: +49.40. 3197.9963
Shanghai, China Tel: +86.216.075.1900
Singapore Tel: +65.6823.8037
Bhavnagar, India Tel: +91.278.300.5253
Dubai, UAE Tel: +971.4.423.0720
New York, USA: +1.240.505.9716
Seoul, South Korea Tel: +82.10.4650.0720
Tokyo, Japan Tel: +81.3.5453.6311